Business Requirements Document (BRD)

Order-to-Cash (O2C) & Inventory Automation System | Client (fictional): PT Maju Distribusi Nusantara | Prepared by: Alief Sukma Dewanta, Business Analyst | Version 1.0 |

> *Portfolio note: the client is fictional. All baseline figures are simulated assumptions used to demonstrate the analysis method. This BRD describes the business need and what the business requires. How the system behaves is specified in the companion Functional Specification Document (FSD).*

1. Document Control

Item	Detail
Document	Business Requirements Document
Companion document	Functional Specification Document (FSD), same project
Status	Draft for stakeholder review
Target solution	Odoo ERP (Sales, Inventory, Purchase, Invoicing)
Methodology	Hybrid: Waterfall for documentation, Agile sprints (2 weeks) for configuration

Version history

Version	Date	Author	Change
0.1	Nov 2026	A. S. Dewanta	Initial draft
1.0	Nov 2026	A. S. Dewanta	Split from combined BRD/FSD; business requirements added

Approvals required

Role	Name	Decision	Date
Operations Director (sponsor)			
Sales Manager			
Warehouse Supervisor			
Finance Manager			

2. Executive Summary

PT Maju Distribusi Nusantara distributes fast-moving consumer goods to about 350 retail stores in East Java. Orders arrive by WhatsApp, stock is tracked in an Excel file updated once a day, and invoices are

prepared by hand. As a result, items are sold that are not in stock, orders are lost or mistyped, and invoices reach customers one to two days after delivery.

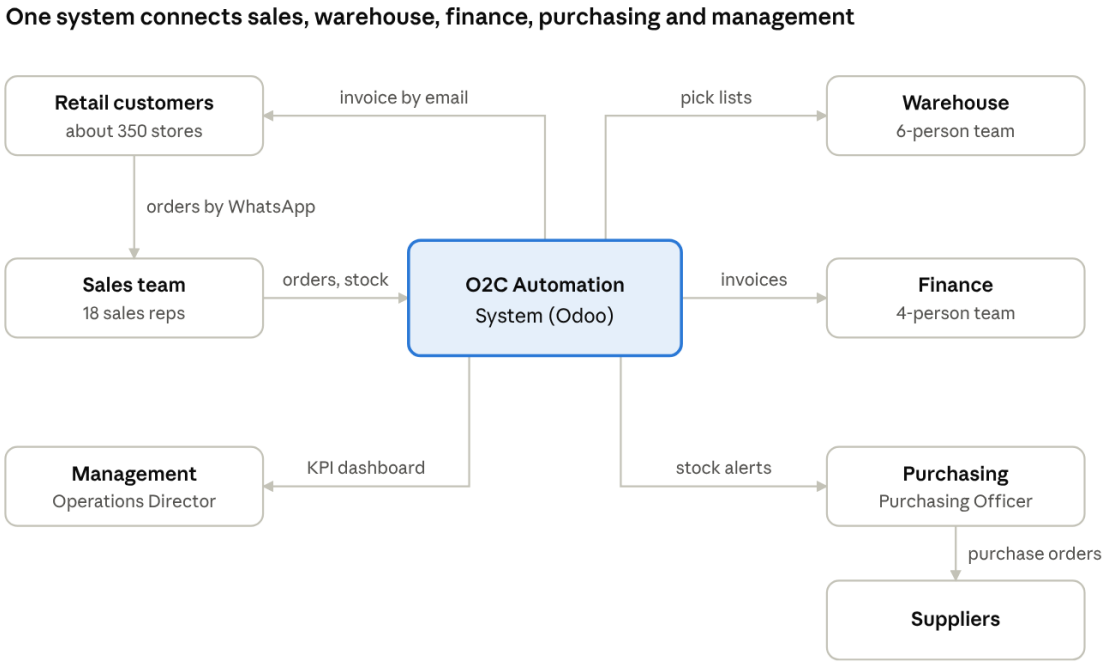
This project replaces the manual chain with one system that checks and reserves stock when an order is confirmed, tells the warehouse what to pick, issues the invoice when goods ship, and shows management how the process performs. The business targets are an order processing time under 2 hours (from about 24), overselling below 1% of orders, stock accuracy of at least 98%, and invoices sent within 15 minutes of shipment.

3. Business Context and Problem Statement

3.1 Company Profile (simulated)

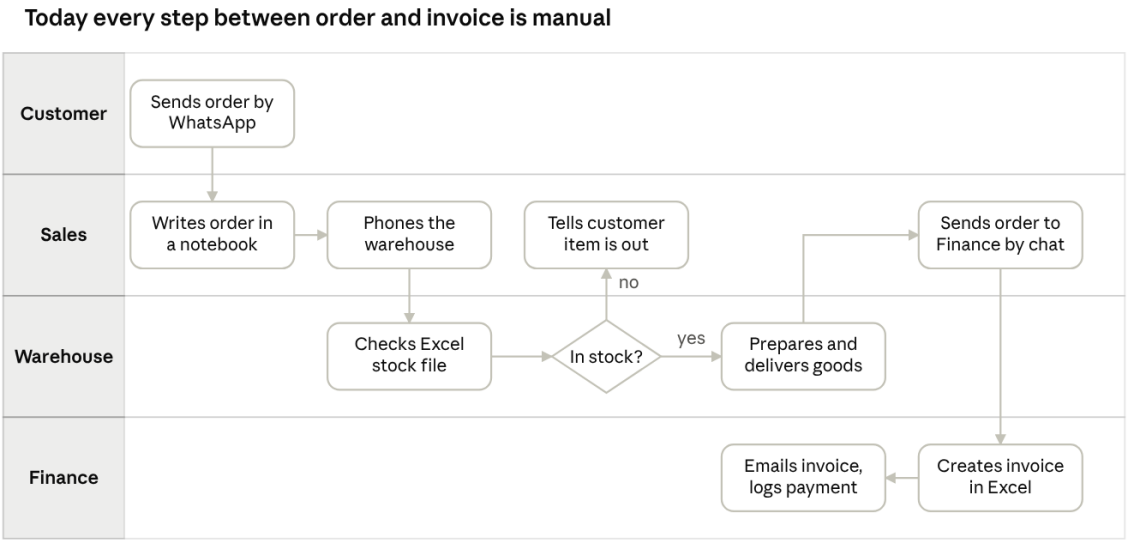
One central warehouse, 18 sales representatives, a 6-person warehouse team, a 4-person finance team, about 250 orders per day, about 400 SKUs.

3.2 Business Context Diagram



business context · 7 parties around the O2C system

3.3 Current Process (AS-IS)



AS-IS process · 4 lanes, 9 manual steps

1. **Manual order intake.** Customers send orders by WhatsApp. Sales representatives copy them into a notebook or spreadsheet, so orders are lost, duplicated, or mistyped.
2. **Siloed stock data.** The warehouse tracks stock in Excel, updated once at end of day. Sales has no real-time view of availability.
3. **Overselling.** Items are promised to customers while physical stock is zero or already allocated.
4. **Delayed invoicing.** Finance waits for sales to forward order data and creates invoices manually, often 1 to 2 days after delivery.
5. **No audit trail.** Order changes, cancellations, and stock adjustments are not recorded, so disputes are hard to resolve.
6. **Reactive purchasing.** Replenishment starts only after a stockout is noticed.

3.4 Baseline Metrics (simulated)

Metric	AS-IS baseline
Average order processing time (order received to warehouse pick instruction)	24 hours
Overselling incidents	9% of orders
Stock record accuracy (system vs physical count)	88%
Invoice issuance delay after shipment	1.5 days
Orders with data-entry errors	6%

4. Business Objectives and Success Metrics

ID	Objective	Metric	Target	Measured by
BO-01	Reduce order processing time	Average time from order confirmation to pick instruction	Under 2 hours	System timestamps, dashboard
BO-02	Eliminate overselling	Orders confirmed without sufficient stock	Under 1%	Order and reservation logs
BO-03	Improve stock accuracy	System vs physical count	At least 98%	Cycle count reports
BO-04	Accelerate invoicing	Time from shipment to invoice sent	Under 15 minutes	Invoice timestamps
BO-05	Reduce order data errors	Orders needing manual correction	Under 1%	Order amendment log
BO-06	Proactive replenishment	Stockout events per month	Reduce by 70%	Inventory reports

5. Scope

5.1 In Scope

- Customer and product master data
- Order capture, stock validation, and stock reservation
- Warehouse picking, packing, and shipment confirmation, including partial shipments
- Automated invoicing, payment recording (including partial payments), and receivables aging
- Low-stock alerts and purchase request generation
- Order cancellation, returns, and credit notes (basic)
- Role-based access control and audit log
- Operational KPI dashboard

5.2 Out of Scope

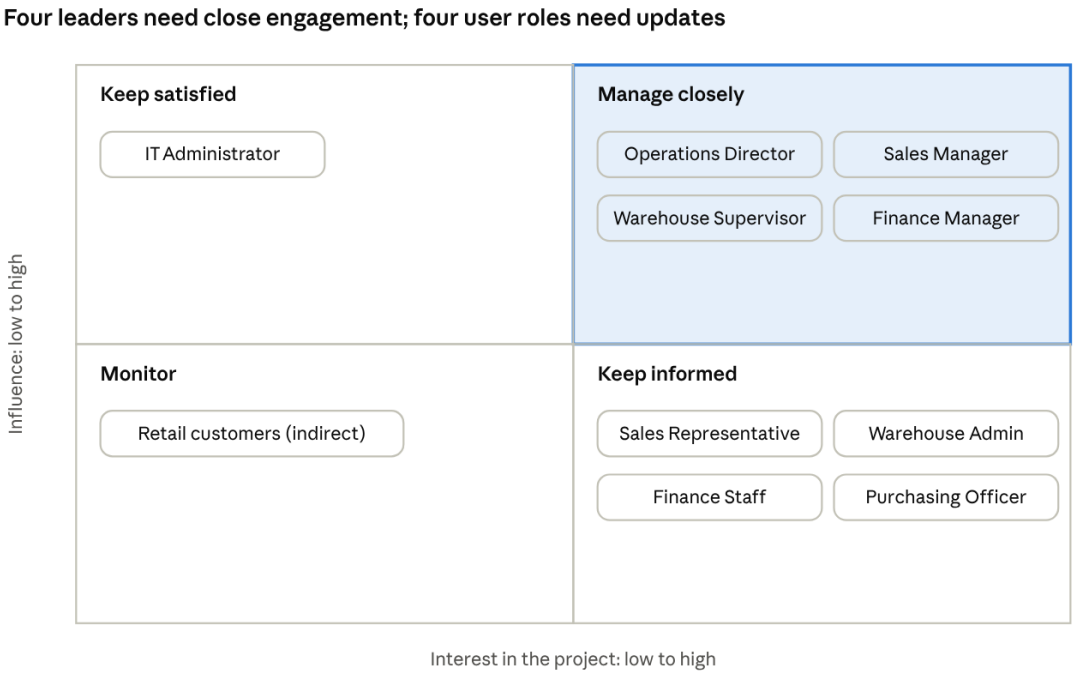
- Payment gateway integration (payments are recorded manually)
- Transport routing and fleet management
- Full accounting and tax filing
- Customer-facing mobile app (possible phase 2)
- Multi-warehouse support

6. Stakeholders

Stakeholder	Role in project	Influence	Interest	Engagement

Stakeholder	Role in project	Influence	Interest	Engagement
Operations Director	Sponsor	High	High	Manage closely
Sales Manager	Key user, approver	High	High	Manage closely
Warehouse Supervisor	Key user	High	High	Manage closely
Finance Manager	Key user, approver	High	High	Manage closely
IT Administrator	Support, access control	High	Low	Keep satisfied
Sales Representative	End user	Low	High	Keep informed
Warehouse Admin	End user	Low	High	Keep informed
Finance Staff	End user	Low	High	Keep informed
Purchasing Officer	End user	Low	High	Keep informed
Retail Customer	External, indirect	Low	Low	Monitor

Influence and interest ratings are the analyst's assumptions for this simulated engagement and would be validated with the sponsor in a real project.



stakeholder map · influence and interest ratings are analyst assumptions

7. Business Requirements

Business requirements state what the business needs, independent of how the system does it. Each links to a business objective and is detailed as functional requirements in the FSD.

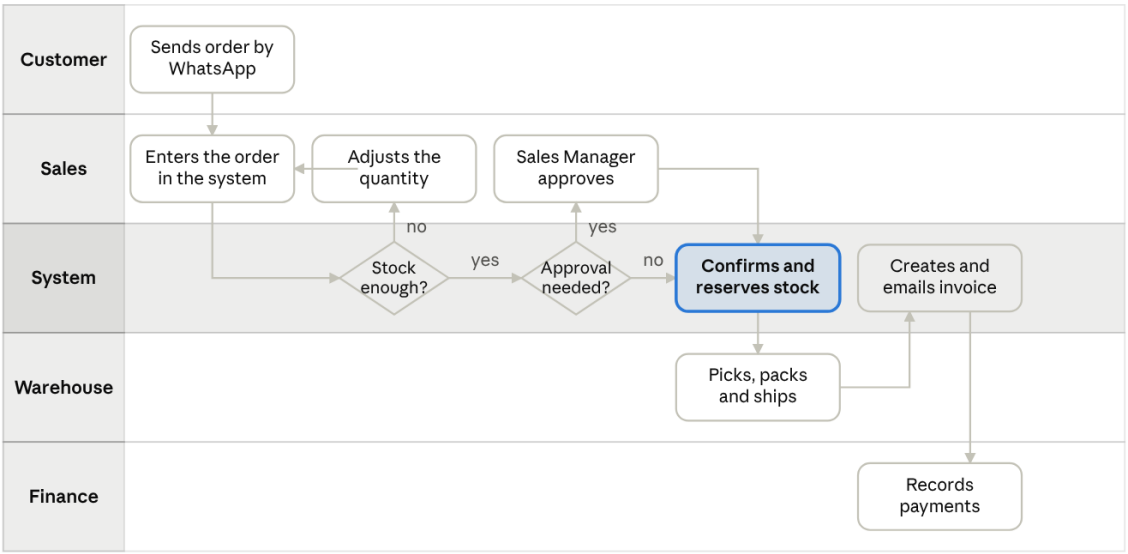
ID	Business requirement	Priority	Objective	FSD reference
BRQ-01	Orders from customers shall be captured in one system with validated data.	Must	BO-05	Master Data, FR-ORD-01, FR-ORD-04
BRQ-02	Sales staff shall see current stock availability while taking an order.	Must	BO-01, BO-02	FR-ORD-02, FR-INV-01
BRQ-03	The business shall not accept orders for more stock than is available.	Must	BO-02	FR-ORD-03
BRQ-04	Stock promised to one customer shall be held for that customer.	Must	BO-02, BO-03	FR-INV-02 to FR-INV-04
BRQ-05	Large orders, high discounts, and credit risk shall be approved by management.	Must	Governance	FR-ORD-05, FR-ORD-06
BRQ-06	The warehouse shall be told what to pick without phone calls and shall be able to ship partially.	Must	BO-01	FR-SHP-01 to FR-SHP-05
BRQ-07	Customers shall be invoiced automatically when goods are shipped.	Must	BO-04	FR-FIN-01 to FR-FIN-03
BRQ-08	Finance shall track payments, including partial payments, and overdue invoices.	Must	BO-04	FR-FIN-04, FR-FIN-07
BRQ-09	Returns and invoice corrections shall be traceable, without editing sent invoices.	Should	Governance	FR-SHP-06, FR-FIN-05, FR-FIN-06
BRQ-10	Purchasing shall be warned before stock runs out.	Must	BO-06	FR-INV-06
BRQ-11	Stock records shall stay accurate through receipts, adjustments, and counts.	Must	BO-03	FR-INV-05, FR-INV-07 to FR-INV-09
BRQ-12	Management shall see KPIs that show whether objectives are met.	Should	All	FR-RPT-01 to FR-RPT-04
BRQ-13	Access shall be limited by role and critical changes shall be logged.	Must	Governance	FR-SEC-01 to FR-SEC-04

8. Proposed Solution (TO-BE)

One ERP system holds customers, products, stock, orders, shipments, and invoices. The main changes to the process are:

- Sales enters each order once and sees available stock immediately.
- The system blocks orders that exceed available stock and reserves stock when an order is confirmed.
- Exceptions (large orders, high discounts, credit limit) go to the Sales Manager for approval.
- The warehouse receives a pick list automatically and can ship in parts.
- The invoice is created and emailed when the shipment is marked shipped.
- Low stock creates a draft purchase request.

The system checks stock first and invoices on shipment



Shaded row: steps done by the system. Highlighted box: stock is held for the customer.

TO-BE process · 5 lanes, 2 decisions

8.1 Process Improvement Summary

Pain point	Root cause	Business solution	Objective
Order errors	Manual re-typing	Single order entry with validation	BO-05
Interruptions	Stock queries by phone	Live available stock on the order	BO-01
Stale stock data	End-of-day Excel update	Real-time stock levels and movements	BO-03
Overselling	No reservation	Block on insufficient stock, automatic reservation	BO-02

Pain point	Root cause	Business solution	Objective
Delayed invoicing	Manual hand-off	Invoice created at shipment	BO-04
No payment visibility	Spreadsheet records	Payment status and receivables aging	BO-04
Reactive purchasing	No reorder trigger	Low-stock alert and draft purchase request	BO-06

9. Business Rules

ID	Rule
BR-01	An order cannot be confirmed if requested quantity exceeds available stock (on hand minus reserved).
BR-02	Confirming an order reserves stock immediately; reserved stock cannot be allocated to another order.
BR-03	A customer whose overdue balance exceeds their credit limit cannot have new credit orders confirmed without Sales Manager approval.
BR-04	Orders above IDR 50,000,000 require Sales Manager approval before confirmation.
BR-05	An invoice is generated only when an order, or a partial shipment, is marked Shipped.
BR-06	Cancelling a confirmed order releases its reserved stock. Cancellation after shipment is not allowed; a return must be used instead.
BR-07	Available stock below the product's reorder point triggers a low-stock alert and a draft purchase request.
BR-08	Every status change, price override, and stock adjustment is recorded in the audit log with user and timestamp.
BR-09	Discounts above 10% require Sales Manager approval.
BR-10	An invoice cannot be edited after it is sent; corrections use a credit note.

10. Assumptions, Constraints, and Dependencies

Assumptions

- A-01: Customers continue to order by WhatsApp in phase 1; sales representatives enter orders into the system.
- A-02: One central warehouse with a single stock location structure.
- A-03: Prices are set per product with optional customer-specific price lists.
- A-04: Payment terms are Cash on Delivery (COD), Net 7, or Net 30.

Constraints

- C-01: The solution is configured on Odoo Community or a free-tier cloud instance.
- C-02: Master data must be migrated from existing Excel files.

Dependencies

- D-01: Product and customer master data are cleaned before user acceptance testing.
- D-02: An email (SMTP) service is available for invoice delivery.

11. Risks

ID	Risk	Likelihood	Impact	Mitigation
R-01	Sales reps resist moving from WhatsApp notes to system entry	High	High	Short training, simple order form, manager sponsorship
R-02	Dirty master data causes wrong stock and prices	Medium	High	Data cleansing task before UAT, validation checklist
R-03	Stock accuracy does not improve because physical handling is unchanged	Medium	High	Confirm-on-pick process, weekly cycle counts
R-04	Scope creep from late feature requests	Medium	Medium	Change control, MoSCoW prioritisation

12. Benefits and How They Will Be Measured

Benefit	How measured	When
Faster order handling	Average confirmation-to-pick time from system timestamps	Monthly after go-live
Fewer lost sales from overselling	Count of blocked and oversold orders	Monthly
More reliable stock	Cycle count accuracy	Weekly
Faster cash collection	Invoice lead time and receivables aging	Monthly
Less rework	Orders amended after entry	Monthly

Financial benefits are not estimated in this simulated case study. In a real project a cost-benefit analysis would be added here with the sponsor's inputs.

13. Project Approach and Timeline

Week	Phase	Business deliverables	Exit gate

Week	Phase	Business deliverables	Exit gate
1	Initiation	Problem statement, stakeholders, objectives, scope	Scope agreed
2	Analysis	AS-IS process, business rules, requirements	BRD and FSD draft reviewed
3	Design	TO-BE process, data model, wireframes, backlog	Backlog ready
4 to 8	Build (5 sprints)	System configuration, testing per sprint	Sprint demos accepted
9	Test and UAT	System test, user acceptance, defect fixes	Sign-off
10	Release and handover	Training guide, go-live, lessons learned	Project closed

14. Acceptance Criteria for the Project

The business accepts the solution when:

1. All Must business requirements (BRQ-01 to BRQ-08, BRQ-10, BRQ-11, BRQ-13) pass user acceptance testing.
2. No Critical or High defects remain open.
3. The sponsor, Sales Manager, Warehouse Supervisor, and Finance Manager sign off.
4. Users in each role have completed training.
5. The KPI dashboard shows the six objectives with data from live operation.

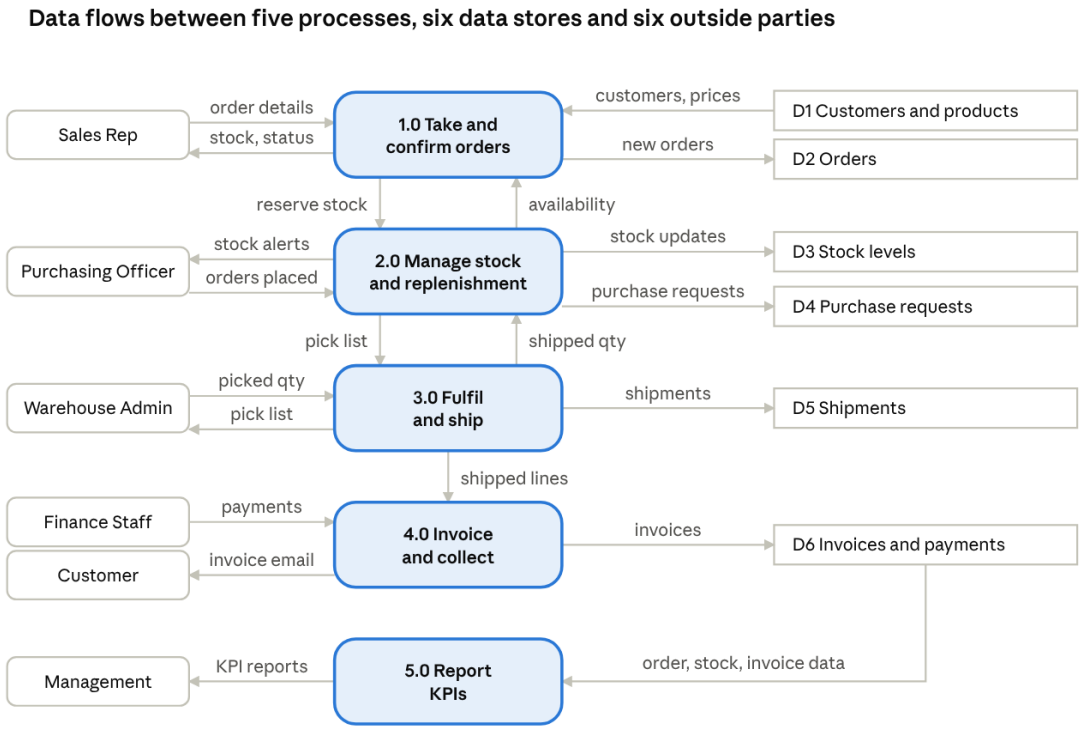
15. Glossary

Term	Meaning
O2C	Order-to-Cash: the process from customer order to payment received
SKU	Stock keeping unit, one distinct product
On hand	Physical quantity in the warehouse
Reserved	Quantity held for confirmed orders
Available	On hand minus reserved
Overselling	Confirming an order for more stock than is available
Backorder	Part of an order not yet shipped, kept for later
Credit note	A document that reduces what a customer owes, used to correct a sent invoice
UAT	User acceptance testing

Term	Meaning
MoSCoW	Must, Should, Could, Won't prioritisation

Appendix A: Data Flow Diagram (Level 1)

Level 0 of the data flow is the business context diagram in section 3.2. Level 1 below splits the system into five processes and shows which data each one reads and writes, and which outside party sends or receives it.



data flow diagram level 1 · 5 processes, 6 data stores, 6 outside parties

Process	What it does	Data stores	Business requirements
1.0 Take and confirm orders	Captures the order, shows stock, checks rules, asks for reserve	D1, D2	BRQ-01 to BRQ-05
2.0 Manage stock and replenishment	Holds, releases and adjusts stock; raises purchase requests	D3, D4	BRQ-04, BRQ-10, BRQ-11
3.0 Fulfil and ship	Pick list, picking, shipment, partial shipment	D5	BRQ-06
4.0 Invoice and collect	Invoice at shipment, email, payments, corrections	D6	BRQ-07 to BRQ-09

Process	What it does	Data stores	Business requirements
5.0 Report KPIs	Reads order, stock, and invoice data for management	D2, D3, D6	BRQ-12